Superior Court of the State of California
County of Orange

TENTATIVE RULINGS

DEPARTMENT C27

JUDGE BRADLEY ERDOSI

LAW AND MOTION IS HEARD ON MONDAYS AT 2:00 P.M.

Tentative Rulings: The Court endeavors to post tentative rulings on the Court's website by 10:00 a.m. on the date of the afternoon hearing. However, ongoing proceedings or other pressing matters may delay the posting of tentative rulings. Additionally, tentative rulings may not be posted in every case. Please **do not** call the department for tentative rulings if tentative rulings have not been posted. The Court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on Tentative Rulings: If all counsel intend to submit on the Court's tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5227. Please do not call the department unless **all** parties submit on the tentative ruling. If all sides submit on the Court's tentative ruling and so advise the Court, the tentative ruling will become the Court's final ruling and the prevailing party is ordered to give notice of the ruling and prepare an order for the Court's signature, if appropriate, under Cal. R. Ct. 3.1312.

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are **not** typically provided for law and motion matters in this Department. If a party desires a record of a law and motion proceeding, it is the party's responsibility to provide a court reporter.

Parties must comply with the Court's policy on the use of privately retained court reporters, which can be found by accessing the following link:
https://www.occourts.org/system/files?file=privately_retained_court_reporter_policy.pdf

Additional information about the availability of court reporters can be found at: https://www.occourts.org/divisions/court-reporter-services/availability-court-reporters

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also may make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

Appearances: Department C27 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at https://www.occourts.org/civil-remote-hearings prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. The Court's policies and procedures, including Guidelines for Remote Proceedings are available at https://www.occourts.org/general-information/news-events/covid-19-response/civil-covid-19-response and will be strictly enforced. A helpful video detailing how to check-in and appear by video can be found at https://www.youtube.com/embed/CU090y2oaWM?rel=0&autoplay=1.

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and OCLR 180.

TENTATIVE RULINGS
July 13, 2026

	Case Name	Tentative
102	2025-01461255 Paco Ventures LLC vs. Ford Foundation Drilling, LLC	**1. Motion to Compel Further Responses to Form Interrogatories** **2. Motion to Compel Further Responses to Special Interrogatories** The motions by Plaintiff Paco Ventures LLC ("Plaintiff") for an order compelling Defendant Ford Foundation Drilling LLC ("Ford") to serve further responses to Plaintiff's Form Interrogatories, Set One, number 17.1 as it relates to Plaintiff's Request for Admission numbers 5-8 and an order compelling further responses to Plaintiff's Special Interrogatories, Set One, numbers 21-23 are DENIED. Request for sanctions are denied. Ford is ordered to give notice.
103	2025-01469411 Hopper vs. Hyundai Motor America	**1. Motion for Attorney Fees** **2. Order to Show Cause re: Dismissal on Settled Case** Plaintiff General Hopper's motion for award of attorneys' fees and costs is granted. Plaintiff is awarded fees of $18,870 and costs of $555.05. The Court reduced the attorneys' fees for time billed for clerical work. Plaintiff is ordered to prepare a proposed judgment, including the costs in the amount ordered. The Court intends on dismissing this matter with prejudice in light of the fact that this matter has settled. If Plaintiff opposes the Court's tentative ruling in this regard, Plaintiff's counsel should attend the hearing and be prepared to address the OSC. Plaintiff is ordered to serve notice of this ruling.
104	2025-01475861 American Express National Bank vs. Torres	**1. Motion for Summary Judgment and/or Adjudication** **2. Case Management Conference** Plaintiff American Express National Bank ("Plaintiff") seeks summary judgment on Plaintiff's sole cause of action for breach of contract alleged in Plaintiff's complaint against Defendant Ricardo M. Torres ("Defendant"). As an initial matter, the Court notes Defendant's address on Plaintiff's proof of service for the notice of motion and moving papers does not match Defendant's address on the caption of Defendant's answer. (Proof of Service, ROA No. 31; Answer, ROA No. 9.) However, the address matches the address on Defendant's opposition to this motion. (Defendant's Opposition, ROA No. 51; Defendant's Separate Statement, ROA No. 50; Defendant's Declaration, ROA No. 52.) Defendant timely opposed the motion without objecting to service. Defendant is directed to confirm whether Defendant's address is 1805 S. Garnsey St. or 1806 S. Garney St. The Court also notes Defendant served his opposition papers by mail. However,

		Defendant's proofs of service did not state the place of deposit in the mail as required under CCP section 1013a, subdivision (1). "In making service by mail there must be a strict compliance with sections 1012, 1013 and 1013a." (Forslund v. Forslund (1964) 225 Cal.App.2d 476, 485.) Plaintiff did not file any reply. Plaintiff should be prepared to discuss whether Plaintiff received Defendant's opposition papers and whether Plaintiff objects to service of Defendant's opposition papers. Furthermore, it appears that some of the citations set forth in Defendant's memorandum of points and authorities (ROA 51) cite some cases that the Court was unable to locate or are cites to a different case. For example, Defendant cites to Gonzalez v. Commercial Credit Corporation, 215 Cal. App.4th 1, 7 (2013), asserting in that case "the court held that when there is a dispute about the statute of limitations, summary judgment is inappropriate." The citation to 215 Cal.App.4th 1 is the case of *In re T.G.* which is a dependency case addressing the termination of parental rights. Defendant should be prepared to address the aforementioned with the Court at the hearing.
105	2025-01528233 Veritiv Landsberg vs. Folmer	**1. Motion to Appear Pro Hac Vice** **2. Motion to Appear Pro Hac Vice** **3. Case Management Conference** The Applications of Bill Morrison, Esq. and Benjamin G. Goodman, Esq. of the law firm of Haynes and Boone, LLP for an order allowing them to appear as counsel pro hac vice for Defendant/Cross-Complainant Ernest Packaging, and Defendants Jon Kemmer, Frank Lodato, and Clifton Folmer is granted. Counsel have complied with CRC Rule 9.40. Accordingly, Counsels' unopposed Applications are granted. The case management conference is continued to August 24, 2026 at 2:00 p.m. in Department C27. Defendants shall give notice.
106	2020-01129890 Farah vs. Dearmin	**1. Motion to Tax Costs** **2. Motion to Tax Costs** **3. Order to Show Cause re: Dismissal** **A. Motion to Strike re: Harris and Dearmin's Memorandum of Costs** The Court grants in part Plaintiffs Michael P. Farah, individually and doing business as Farah Advisory Services of Newport Beach and The Eric Wyser Charitable Trust (hereinafter collectively referred to as "Plaintiffs") Motion to strike portions of Defendants Grace C. Dearmin and Terese Harris's Memorandum of Costs (ROA 1295), as set forth below. <u>Legal Standard</u> Allowable costs must be reasonably necessary to the conduct of the litigation, rather than merely convenient or beneficial to its preparation. (Code Civ. Proc., § 1033.5, subd. (c)(2); see *Moss v. Underwriters' Report* (1938) 12 Cal.2d 266, 274; *Ladas v. California State Auto. Assn.* (1993) 19 Cal.App.4th 761, 774 [whether cost item was reasonable and necessary presents question of fact for trial court and its decision is reviewed for abuse of discretion].)

Allowable costs must also be reasonable in amount. (Code Civ. Proc., § 1033.5, subd. (c)(3).)

If the items on their face appear to be proper charges, the verified memorandum of costs is prima facie evidence of their propriety, and the burden is on the party seeking to tax costs to show they were not reasonable or necessary. (*Ladas v. California State Auto. Assn., supra,* 19 Cal.App.4th at pp. 774-776; *Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1266 [mere statements in points and authorities and Declaration of counsel insufficient to rebut prima facie showing].)

On the other hand, items that are properly objected to are put in issue, and the burden of proof is on the party claiming them as costs. (*Ladas v. California State Auto. Assn., supra,* 19 Cal.App.4th at pp. 774-776.) Whether an item listed on the cost bill was reasonably necessary is a question of fact for the trial court, whose decision is reviewed on appeal for abuse of discretion. (*Bender v. County of Los Angeles* (2013) 217 Cal.App.4th 968, 989.)

Even costs otherwise "allowable as a matter of right" may be disallowed if the court determines they were not "reasonably necessary." Likewise, the court has power to reduce the amount of any cost item to an amount that is "reasonable." [*Perko's Enterprises, Inc. v. RRNS Enterprises* (1992) 4 CA4th 238, 245—"intent and effect [of § 1033.5(c)(2)] is to authorize a trial court to disallow recovery of costs, including filing fees, when it determines the costs were incurred unnecessarily".)

Coparties who prevail in the litigation against a single adversary need not file separate memoranda of costs, but may file a single memorandum setting forth their joint costs. (This is common where coparties are represented by the same counsel, present a joint case and share litigation expenses.) (*Jonkey v. Carignan Const. Co*. (2006) 139 Cal.App.4th 20, 26.)

As stated in the statute, a prevailing party that has incurred the legal liability to pay costs is entitled to seek recovery of those costs regardless of whether that party actually paid those costs—i.e., the actual payor is irrelevant. (*Cell-Crete Corp. v. Federal Ins. Co.* (2022) 82 CA5th 1090, 1095.)

<u>Merits</u>
As an initial matter, Plaintiffs argue that this Memo is not supported by any evidence.

However, the initial verification, which the Memorandum contains, will suffice to establish the reasonable necessity of the costs claimed. There is no requirement that copies of bills, invoices, statements, or any other such documents be attached to the memorandum. Supporting documentation must be submitted only if costs have been put in issue by a motion to tax costs. (*Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1267.)

Thus, the Court moves to the merits of specific cost items.

1. <u>Motion and Filing fees in the total amount sought of $2,720</u>

Filing/motion fees are specifically an allowable item of costs. (CCP §1033.5(a)(1).)

In opposition, Defendants' filing and motion fees are identified in the accompanying declaration Terese Harris and in the Memorandum of Costs Worksheet, Judicial Council form MC-011. (Harris Dec., ¶ 5, Ex. 4, ¶ 6, Ex. 5).

Based on the records presently available, Defendants can confirm and substantiate $589.80 in filing, motion, and related court filing costs identified in the Harris declaration and MC-011 worksheet. (Harris Dec., ¶ 5, Ex. 4). In addition, Defendants have located prior counsel's cost records reflecting an additional $1,760.38 in filing, service, messenger, photocopy, court-copy, and related litigation costs, excluding deposition transcript charges that are addressed separately. (Harris Dec., ¶ 6, Ex. 5). Together, the currently confirmed and substantiated amount is $2,350.18.

Defendants acknowledge that the original amount of $2,720.00 listed for filing and motion fees within the Memorandum of Costs was prepared by former counsel, Attorney Mark Clausen. That amount appears to include filing fees, motion fees, and related litigation costs incurred while Mr. Clausen was handling the matter, as well as costs incurred during earlier stages of the case. But that cannot be confirmed.

Thus, the Court permits the substantiated amount of $2,350.18 and strikes the remaining portion of **$369.82 of the requested motion and filing fees.**

2. <u>Deposition Costs in the total amount of $3,200</u>

Deposition fees are specifically an allowable item of costs. (CCP §1033.5(a)(A) and (B).)

Allowable costs include:

> (3)(A) Taking, video recording, and transcribing necessary depositions, including an original and one copy of those taken by the claimant and one copy of depositions taken by the party against whom costs are allowed.
> (B) Fees of a certified or registered interpreter for the deposition of a party or witness who does not proficiently speak or understand the English language.
> (C) Travel expenses to attend depositions.

(CCP §1033.5(a)(A), (B), (C).)

Plaintiffs argue that any deposition for a person who did not appear at trial is not necessary, without any citation to law.

California courts have consistently held that the recovery of deposition costs does not depend on whether the deponent ultimately testifies at trial. In *Chaaban v. Wet Seal, Inc.*, the Court of Appeal held that a defendant's deposition of a plaintiff's expert witness was reasonably necessary to prepare for trial, even though a motion in limine subsequently precluded that expert from testifying at trial. (*Chaaban v. Wet Seal, Inc*. (2012) 203 Cal.App.4th 49.)

In opposition, Defendants provide the testimony of Terese Harris to show what expenditures were incurred, including $3,200.00 in costs for copies of five (5) deposition transcripts.

But in opposition, all that Defendant can substantiate is
$1,318.40 for the deposition transcription of Mitchell Zogob and $475.32 for Volume II of the Mitchell Zogob deposition for a total of $1,793.72. (Harris Dec., ¶ 6, Ex. 5, pp. 6, 9).

Defense Counsel then argues:

> "Defendants continue to believe the original $3,200.00 amount was incurred for

> deposition transcripts in this matter, but because this action has been pending since February 2020, involved multiple counsel, and included periods where Defendants were representing themselves in pro per, current counsel does not presently have every receipt corresponding to the full amount originally claimed."

(Opp., p. 7:1-7.)

But the Court will not award estimates for costs that are not substantiated.

Thus, the Court permits the substantiated amount of $1,793.72 and strikes **$1, 406.28 of the requested deposition costs.**

3. Court Ordered Transcripts in the total amount of $6,515.71

Costs for Court ordered transcripts are specifically an allowable item of costs. (CCP §1033.5(a)(9).)

Plaintiffs seek to tax Defendants' Court reporter and trial transcript costs on the ground that there were no Court-ordered transcripts in this case.

The Court ordered all parties to prepare a proposed statement of decision, in Word format, on a USB drive, and to submit it to the clerk, it did not order the transcripts.

An item neither specifically allowable under CCP § 1033.5(a) nor prohibited under CCP § 1033.5(b) may nevertheless be recoverable in the court's discretion. (CCP § 1033.5(c)(4); *Ladas v. California State Automobile Ass'n* (1993) 19 Cal.App.4th 761, 773-774; *Ripley v. Pappadopoulos* (1994) 23 Cal.App.4th 1616, 1623—court had discretion to allow cost of overhead projector because "not an item specifically excluded from a cost award" under § 1033.5(b).)

Transcripts of court proceedings not ordered by the court are *specifically* not allowed. *(*CCP § 1033.5(b); see *Davis v. KGO-T.V., Inc*. (1998) 17 Cal.4th 436, 440-442 (disapproved on other grounds by *Williams v. Chino Valley Independent Fire Dist*. (2015) 61 Cal.4th 97, 105-107; *Sanchez v. Bay Shores Med. Group* (1999) 75 Cal.App.4th 946, 948-949; *Baker-Hoey v. Lockheed Martin Corp*. (2003) 111 Cal.App.4th 592, 599-600.)

Thus, the Court grants the Motion and strikes **$6,515.71 in transcript costs.**

4. Models, enlargements, and photocopies of exhibits in the total amount of $850

Plaintiffs argue that there should not be anything in this category because there were no models, enlargements, or photocopies used at trial.

Defendants correctly argue in opposition that the category is broader than what was used at trial. That is true. (See *Rozanova v. Uribe* (2021) 68 Cal.App.5th 392, 406—party may recover costs under § 1033.5(a)(13) not only for trial exhibits but for those used in motion to deem plaintiff vexatious litigant.)

Here, Defendants' Memorandum of Costs Worksheet identifies this item as "Exhibits filed on successful motions by Defs. Some exhibits also used at trial." (Harris Dec., ¶ 5, Ex. 4). The declaration of Terese Harris confirms that Defendants incurred $850.00 in costs for exhibits filed in connection with successful motions and additional exhibits used during trial. (Harris Dec., ¶ 3(t)).

But it is not clear to the Court what Exhibits for which Motions Defendants seek reimbursement. There is no evidence excepting a conclusory declaration.

Thus, the Court grants the Motion and strikes **$850** in models, enlargements, and photocopies of exhibit**.**

5. Fees for electronic filing or service in the total amount of $2,210.21

Code of Civil Procedure §1033.5(a)(14) allows for recovery of fees for the electronic filing or service of documents through an electronic filing service provider if a court requires or orders electronic filing or service of documents.

But Defendants fail to provide invoices for each of the claims being challenged. It is not clear what charges were incurred for electronic filing based on the evidence and testimony presented.

For example, the Court has seen "convenience fees" charged by the e-filing providers to allow use of a credit card and other charges that are not reasonable or necessary.

The Court strikes these costs in the amount of **$2,210.21** because it is not clear what these charges consist of as no invoices or detailed statements are provided.

6. Travel expenses in the total amount of $5,400

Defendants seek $5,400.00 in trial-related travel and lodging expenses for trial counsel, Mark Clausen, Esq. This amount consists of $1,533.00 in miscellaneous travel expenses and $3,867.00 in lodging expenses incurred during trial, supported by receipts attached to the Harris declaration. (Harris Dec., ¶¶ 3(q)–(r), Ex. 2).

The only travel expenses authorized by section 1033.5 are those to attend depositions. (Code Civ. Proc., § 1033.5, subd. (a)(3)(C).) Plaintiff cannot recover for mileage or parking associated with trial. (See *Ladas v. California State Auto. Assn.* (1993) 19 Cal.App.4th 761, 775–776.) "Nor can meal expenses be justified as 'necessary to conduct the litigation' since attorneys have to eat, whether they are conducting litigation or not." (*Id.* at p. 774.)

Plaintiffs argue these costs should be denied because attorney travel and hotel expenses are not expressly listed as recoverable costs.

The Court does have discretion under Code of Civil Procedure section 1033.5, subdivision (c)(4).

Since these are not an allowable cost, Defendants bear the burden to show why the costs were reasonable and necessary.

Defendants have not cited any case law to show that these are compensable discretionary costs. The Court exercises its discretion to deny these costs.

Thus, the Court grants the Motion and strikes **$5,400** in trial related travel and hotel expenses for counsel.

In sum, the Court awards costs in the amount of $150 for jury fees, $2,350.18 in filing and motion fees, $1,793.72 in deposition costs for a total of **$4,293.90** in costs. The Court

107		strikes <u>$16,752.02</u> from the Memorandum of Costs. Plaintiffs are ordered to serve notice. **B. Motion to Strike re: Zogob Memorandum of Costs** The Court denies Plaintiffs Michael P. Farah, individually and doing business as Farah Advisory Services of Newport Beach and The Eric Wyser Charitable Trust (hereinafter collectively referred to as Plaintiffs") Motion to strike portions of Defendant Mitchell Zogob's Memorandum of Costs at ROA 1293. At issue is expert witness fees. Expert witness fees are generally not allowable. (*See Olson v. Automobile Club of Southern Calif*. (2008) 42 Cal.4th 1142, 1149-1150, 1156-1157.) However, if a section 998 Offer is made and rejected, the Court has discretion to award expert witness costs. The award of expert witness expenses where there is a failure to accept a pretrial CCP § 998 offer is discretionary, not automatic. (*See Santantonio v. Westinghouse Broadcasting Co., Inc*. (1994) 25 Cal.App.4th 102, 121-124; *Rouland v. Pacific Specialty Ins. Co.* (2013) 220 Cal.App.4th 280, 289.) The court has discretion to award reasonable fees for time reasonably spent in preparation for trial as well as on the witness stand. (*Santantonio v. Westinghouse Broadcasting Co., Inc.* (1994) 25 Cal.App.4th 102, 123-124; *Michelson v. Camp* (1999) 72 Cal.App.4th 955, 974.) The expert witness fee recovery under CCP § 998 is limited to the "reasonable and customary hourly or daily fee for the actual time consumed in the examination of that witness by any party attending the action or proceeding." (Gov. Code § 68092.5(a); *Michelson v. Camp* (1999) 72 Cal.App.4th 955, 975.) Here, in opposition, Mr. Lee provides a declaration indicating that he charges $770 per hour for deposition and $710 for trial. (Mr. Lee Decl., ¶3, Ex. A.) He includes invoices. (*Id.*) Plaintiffs fail to file a reply and do not dispute the validity/reasonableness of the 998 Offer; nor have they challenged the fees after learning the hourly rate and activities undertaken. The Court in its discretion finds that the expert witness fees requested are reasonable and necessary. Therefore, the Motion is denied. Defendants shall jointly prepare a proposed amended judgment to include the costs. Plaintiffs are ordered to serve notice.
107	2025-01497783	**1. Motion for Summary Judgment and/or Adjudication** **2. Case Management Conference** **3. Order to Show Cause re: Failure to Comply re:CCRC 3.110b**

	Carmona vs. Gersten	The motion by Plaintiff Benjamin Carmona ("Plaintiff"), individually, and as Trustee of the Benjamin Carmona and Lindsay Carmona Revocable Trust, for summary adjudication on the first cause of action for involuntary dissolution, is granted. <u>Procedural Issues</u> Plaintiff's request for judicial notice (ROA 56) is granted. (Evid. Code § 452, subd. (d).) Defendant Ehud Gersten's ("Defendant") objection no. 6 is sustained to the extent the declarant's testimony consists of an improper legal conclusion. (See *People v. Clay* (1964) 227 Cal.App.2d 87, 98.) The remainder of Defendant's objections are overruled. Plaintiff's objections are overruled. <u>Merits</u> Plaintiff moves for summary adjudication on the first cause of action for involuntary dissolution of nominal defendant, Perch Financial, LLC ("Perch"). <u>Legal Standard</u> "A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment." (Code Civ. Proc., § 437c, subd. (f)(2).) "Summary adjudication is properly granted when there is no triable issue of material fact as to a cause of action and the moving party is entitled to judgment as a matter of law." (*Barnes v. Black* (1999) 71 Cal.App.4th 1473, 1477.) The motion for summary adjudication must completely "dispose" of "a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (Code Civ. Proc., § 437c, subd. (f)(1).) Where a plaintiff seeks summary adjudication, the burden is to produce admissible evidence on each element of a cause of action entitling him or her to judgment. (Code Civ. Proc. § 437c, subd. (p)(1); *S.B.C.C., Inc. v. St. Paul Fire & Marine Ins. Co.* (2010) 186 Cal. App. 4th 383, 388.) This means that a plaintiff who bears the burden of proof at trial by a preponderance of evidence must produce evidence that would require a reasonable trier of fact to find any underlying material fact more likely than not. (*LLP Morg. v. Bizar* (2005) 126 Cal. App. 4th 773, 776.) If plaintiff meets this burden, the burden then shifts to the defendant "to show that a triable issue of one or more material facts exists as to that cause of action." (Code Civ. Proc. § 437c, subd. (p)(1).) <u>Involuntary Dissolution (Corp. Code § 17707.03)</u> Corporations Code section 17707.03 provides, in relevant part, pursuant to an action brought by "any manager" or "any member or members" of a LLC, "a court of competent jurisdiction may decree the dissolution of a limited liability company whenever any of the events specified in subdivision (b) occurs." (Corp. Code, § 17707.03, subd. (a).) Subdivision (b), in turn, specifies various events, including, "[t]he management of the limited liability company is deadlocked or subject to internal dissension." (Corp. Code, § 17707.03, subd. (b)(4).) A suit for judicial dissolution may be avoided by "the other members" by "purchasing the membership interests owned by the members so initiating the proceeding…" (Corp. Code, § 17707.03, subd. (c)(1).) Here, the Court find there is no triable issue of material fact on (b)(4), that the "management of the limited liability company is deadlocked or subject to internal dissension." Although the statute does not define "internal dissension," courts have found it exists (in the context of corporations) where "there were several substantial areas of disagreement existent between the factions in [the corporation]," and "discord" over assets, hiring and firing, and interference with access to corporate assets. (See *Fuimaono v.*

Samoan Congregational etc. Church of Oceanside (1977) 66 Cal.App.3d 80, 84; *Buss v. J. O. Martin Co.* (1966) 241 Cal.App.2d 123, 136; *Reynolds v. Special Projects, Inc.* (1968) 260 Cal.App.2d 496, 501 [affirming interlocutory order for dissolution where record showed "at least two substantial areas of disagreement between the shareholders," including claim that the defendant "had improperly diverted corporate funds to his own use"].)

Here, it is undisputed that Perch is a manager-managed LLC, of which Plaintiff and Defendant are the only managers of Perch. Perch was founded by Plaintiff and Defendant, and has no passive investors. Perch is governed by the "Amended and Restated Operating Agreement of Perch Financial, LLC." Plaintiff's trust and Defendant's trust are each 50% members of Perch. Perch's operating income is derived through commissions. Defendant is no longer registered with a FINRA registered Broker-Dealer. Defendant's "last significant deposit" into Perch's account occurred in August of 2025, and ceased entirely in October of 2025. Perch, through Plaintiff, has suspended distributions to Defendant, despite Defendant's demand that he is still entitled to a 50/50 share of the distributions. ("DF" no. 21.) Several emails have been exchanged between the parties expressing Plaintiff's belief that his business relationship with Defendant was no longer viable.
Defendant has made allegations against Plaintiff and Perch's COO in a formal FINRA arbitration. Perch's commission revenue is 50% of what it was a year ago.

Moreover, the pleadings reflect that both Plaintiff and Defendant are accusing each other of breaches of fiduciary duty, self-dealing, and other tortious conduct. Perhaps the parties' discord is best exemplified by Defendant's own additional, material facts, in which Defendant makes, among other claims, that: Plaintiff is holding funds belonging to Defendant in his personal bank account; Plaintiff continues to receive commissions to his personal bank account; Plaintiff told Perch's employees to "strip" Defendant of access to Perch's email, company website, and client-facing systems; and, Plaintiff has been working with other persons to "develop a plan to remove [Defendant] from Perch."

In his opposition, Defendant proffers a slew of reasons as to why this motion should be denied, but none of the arguments are persuasive. Defendant claims the "personal hostility" between Plaintiff and Defendant "is insufficient," because "Perch's ongoing operations are not untenable." (Opp'n at pp. 15-16, citing *Stumpf v. C.E. Stumpf & Sons, Inc.* (1975) 47 Cal.App.3d 230, 235.) However, section 17707.03 does not require any finding of fault, blame, or a showing that someone acted without "unclean hands" in order to decree a judicial dissolution. Further, involuntary dissolution of an LLC is a remedy provided by statute. Generally, equitable defenses (e.g. unclean hands) cannot defeat statutory claims, even if the court may place equitable limitations on how it fashions the remedy. (See *Marina Tenants Assn. v. Deauville Marina Development Co.* (1986) 181 Cal.App.3d 122, 134 ["Equity follows the law and when the law determines the rights of the respective parties, a court of equity is without power to decree relief which the law denies"]; *Trahan v. Trahan* (2002) 99 Cal.App.4th 62, 78 [following motion for corporation dissolution and exercise of option to buy out movants' interest, trial court could place equitable limitations on the buy-out procedure].)

Defendant's reliance on *Stumpf* is wholly misplaced, because *Stumpf* involved an effort by a *minority* shareholder to dissolve a corporation with three shareholders. In reaching its holding, *Stumpf* recognized that, *when corporate dissolution is sought by a minority shareholder*, "the danger of minority abuse was evidently recognized and dealt with by the Legislature," such that the "minority must persuade the court that fairness requires drastic relief under section 4651, subdivision (f)…" (*Stumpf v. C.E. Stumpf & Sons, Inc.* (1975) 47 Cal.App.3d 230, 235.) *Stumpf* has no application to the facts, here, because Perch is a manager-managed LLC consisting of the two members and two managers; there is no

		threat of “minority abuse.” Nor is there any merit to Defendant’s argument that this motion is “not ripe,” because Perch is a “necessary and indispensable party.” (Opp’n at pp. 17-18.) Defendant fails to cite any authority showing that an LLC—with two members and two managers, all of whom are before the court—must appear in its own capacity, when the procedural reality is that Plaintiff and Defendant are the only two managers and members that have any ownership interest in Perch. In any event, Defendant waived this objection by failing to raise it by demurrer or in his answer. (Code Civ. Proc., § 430.10, subd. (d).) Finally, the Court finds the *discretionary* provision of CCP section 437c, subdivision (e), is not applicable. No continuance is warranted because the pending discovery does not describe evidence essential to opposing the motion, given the Court’s reasons for granting the motion. (Code Civ. Proc., § 437c, subd. (h).) The OSC is discharged. The case management conference is continued to December 14, 2026 at 10:00 a.m. in Department C27. Plaintiff shall give notice of the ruling.
108	2024-01445758 Avesta Aesthetics Inc. vs. Ford	**1. Demurrer to Complaint** **2. Motion to Strike Complaint** **3. Case Management Conference** The demurrer of Defendants Laleh Ford, Dr. Kaveh Karandish, and CDM Medical, Inc. to plaintiff Avesta Aesthetics Inc.’s first amended complaint (“FAC”) is overruled. [ROA # 73.] Defendants motion to strike is granted without leave to amend as to paragraphs 54, 63, and 74; it is granted with 15 days leave to amend as to paragraph 75. [ROA #69.] The case management conference is continued to December 14, 2026 at 10:00 a.m. in Department C27. Moving party is ordered to give notice.
109	2024-01445914 CDM Medical, Inc. vs. Avesta Aesthetics Inc.	**1. Case Management Conference** The case management conference is continued to December 14, 2026 at 10:00 a.m. in Department C27.